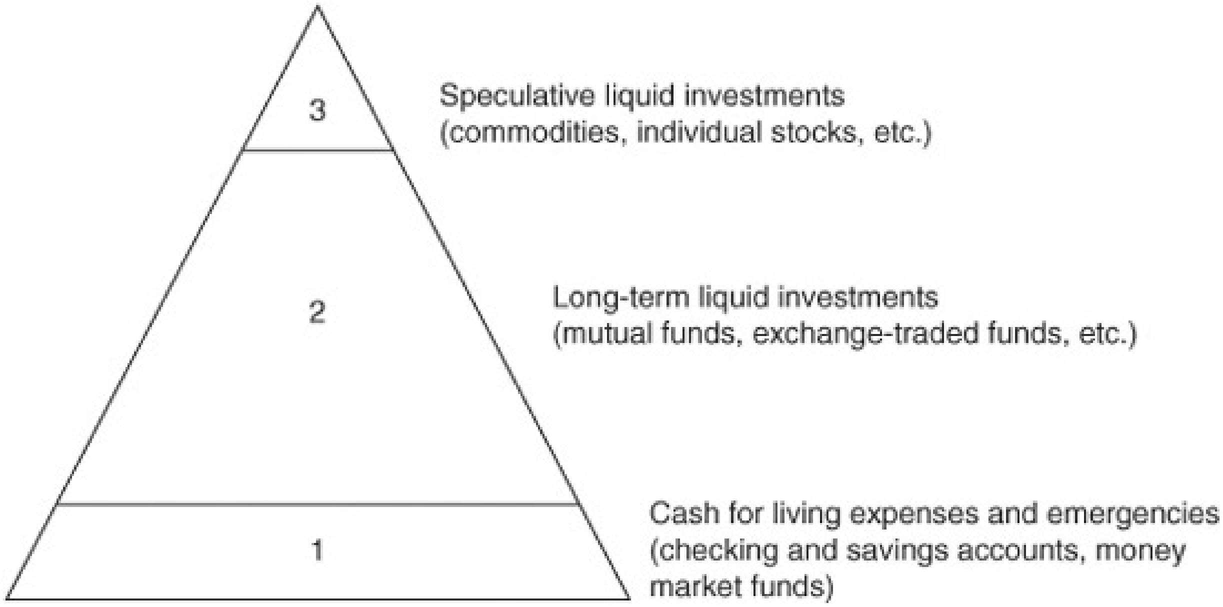

The middle of the pyramid holds your long-term investment portfolio, and that is the primary focus in this chapter. The pyramid base holds cash like investments and the top holds speculative investments. These are also mentioned briefly.

At the end of each stage, two sample portfolios are provided that cover the middle of the pyramid long-term investment section. Both sample portfolios offer broad diversification across several global asset classes. The first portfolio is a simple allocation utilizing four or five low-cost mutual funds or ETFs. The second portfolio is a more advanced multi-asset-class portfolio utilizing between 9 and 12 low-cost mutual funds or ETFs.

Either portfolio offers a good base from which to start—or end—in my opinion. You can begin with one of the portfolios and add or take away funds to suit your particular needs. You may want to limit the number of funds you have in your portfolio to 12 because after that you reach diminishing returns and higher costs.

The mutual funds and ETFs recommended in this chapter are low-cost examples. Substitutes are available in many investment categories from many different mutual fund companies. You may not have access to one or more of the mutual funds or ETFs listed in this book, as is the case with most employer retirement plans. In that case, you will have to substitute with the funds that are the closest fit available.